

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

JOINT STATUS REPORT

Pursuant to the Presiding Officer's March 4, 2022 Order (the "March 4 Order") on Proposed Revised Schedule and Discovery Notice, the undersigned counsel for Complainant MCS Industries, Inc. ("MCS Industries") and Respondent MSC Mediterranean Shipping Company SA ("Mediterranean" and, collectively with MCS Industries, the "Parties"), after having conferred and corresponded on these issues, jointly file this status report.

I. Status of Discovery

A. Complainant's Position

Consistent with the Presiding Officer's March 4 Order, on March 7, 2022 Complainant served its third set of requests for production ("RFPs") and second set of interrogatories on Respondent, and produced to Respondent the documents that Expeditors had provided to Complainant in February 2022 for purposes of making confidentiality designations under the Confidentiality Stipulation and Protective Order in this case. Complainant has not yet received any objections, responses, or productions from Respondent in connection with these new RFPs and interrogatories, but expects to receive objections and responses to them on April 6, 2022, after which Complainant expects to confer with Respondent concerning those objections and responses,

including the extent to which Respondent will take the position that its productions and responses will implicate the same Swiss legal issues currently under discussion.

No additional documents or information have been received from Respondent in response to any of Complainant's prior discovery requests or the Presiding Officer's December 8, 2021 Order Granting Motion to Compel (the "December 8 Order"). Complainant remains willing and available to confer with Respondent at mutually convenient times concerning the status of these matters and Respondent's discovery requests to Complainant.

B. Respondent's Position

MSC will respond to Complainant's third set of requests for production ("RFPs") and second set of interrogatories on Respondent on or before April 6, 2022. Those requests largely track prior discovery served on MSC for the first four months of the 2021 contract year, extending them to the 2020 contract year. MSC expects that its responses will thus be consistent with its prior responses.

Complainant provided responses and objections on February 18, 2021 to MSC's Second Set of RFPs and Second Set of Interrogatories, but has not provided any documents in response to those requests other than about 60 pages of weekly "Booking Report" emails sent from Expeditors to Complainant from January through August 2021. Complainant had not previously provided these booking reports even though they were responsive to MSC's discovery served in September, 2021 and to a specific request to Complainant made in December 2021 during the deposition of MCS's transportation manager. MCS has promised to provide the "Booking Report" emails it has for the period May through December 2020.

Complainant has also forwarded to MSC the booking reports and other documents it received from Expeditors in February, adding confidentiality designations to those documents that

go beyond what Expeditors itself designated. MSC understands that Expeditors provided additional relevant documents to Complainant in November, 2021 but it is not clear that any of those have yet been provided to MSC. As discovery moves forward in the case MSC will continue to address with Complainant the deficiencies in its production in the hope these can be resolved without Your Honor's intervention.

II. Swiss Discovery Issues

A. Complainant's Position

1. U.S. Courts Do Not Interpret Article 271 of the Swiss Criminal Code to Prohibit Discovery in Non-Criminal Proceedings.

As an initial matter, in determining how to proceed, the Presiding Officer should not accept uncritically Respondent's position that Swiss law prevents it from complying with Complainant's discovery requests or the Presiding Officer's December 8 Order. To the contrary, U.S. courts have repeatedly rejected the argument that Article 271 of the Swiss Criminal Code prohibits Swiss parties from producing evidence in a civil case where the only penalties for non-compliance were non-criminal in nature. *See, e.g., EFG Bank AG v. AXA Equitable Life Ins. Co.*, No. 17-CV-4767 (JMF), 2018 WL 1918627, at *2 (S.D.N.Y. Apr. 20, 2018) ("Significantly, however, decisions of the Swiss Federal Department of Justice and Police ('FDJP')—an administrative, non-judicial body—indicate that Swiss law does not preclude the *voluntary* production of documents by a private party and that 'voluntary' is defined broadly to include the production of discovery so long as the party faces only procedural consequences rather than criminal sanctions for its failure to produce"); *accord Casimir-Chery v. JTI (US) Holding Inc.*, No. 20-CV-62568, 2021 WL 2290680, at *1 (S.D. Fla. June 3, 2021) ("contrary to Defendant's argument, Swiss law does not preclude voluntary discovery where a party would be subject only to procedural consequences rather than criminal sanctions"); *see also Motorola Credit Corp. v. Uzan*, 73 F. Supp. 3d 397, 404 n.3

(S.D.N.Y. 2014) (Article 271 “does not create criminal liability for a bank that adheres to a U.S. court’s order to search for bank account documents located in Swiss bank branches”). The court in *EFG Bank* noted that the Swiss parties had not been able to cite any cases in Switzerland where “a party was found to have violated Article 271 by disclosing its own documents absent a court order threatening criminal sanctions . . . presumably because no such case exists.” *EFG Bank*, 2018 WL 1918627, at *2.

As explained in a white paper published by the Geneva, Switzerland office of a prominent international law firm:

In certain circumstances, the foreign court or parties to a pending litigation abroad may conduct judicial acts without prior authorization of the Swiss authorities. For example, when a Swiss party to a civil trial in a common law jurisdiction is served with a request for evidence, a list of questions to answer in writing, or summoned to appear before a judge, and such request does not require that the court or the parties’ representatives travel to Switzerland, recourse to international judicial assistance is not required if the party is free to decide to cooperate, and any refusal to comply with the request has purely civil procedural consequences only.

Winston & Strawn LLP, *International Discovery: How to Get Evidence in Switzerland* (2013), available at <https://www.winston.com/images/content/1/3/1381.pdf>.

Because relevant federal jurisprudence in the United States indicates that Swiss law does not actually prohibit Respondent from complying with Complainant’s discovery requests or the Presiding Officer’s December 8 Order, Respondent’s non-compliance should not be treated as a Swiss law issue, but instead as simple non-compliance by a party over which the Presiding Officer clearly has jurisdiction. Respondent should not be permitted to delay this case or hand control of it over to foreign authorities when, under relevant federal jurisprudence, complying with the December 8 Order entails no actual risk of prosecution in Switzerland. Complainant continues to reserve its rights to seek remedies for such non-compliance, including adverse inferences or entry of judgment in Complainant’s favor.

Respondents' Position on point 1.

MSC's position on the requirements of Swiss law under Article 271 were based on the conclusions of a Swiss law firm experienced in dealing with such matters, concluding that compliance with procedures under the Hague Convention is both necessary and desirable. The March 4 Order asked the parties meet and confer as to whether compliance with the Swiss legal procedures to obtain the discovery at issue should take place by use of a Commissioner, rather than the use of traditional letters of request, and to provide a form of request that would comply with those procedures.

Complainant nonetheless prefaces its discussion of the issues identified by the March 4 Order with an attempt to argue that the Swiss procedures should not be required at all because Swiss law supposedly does not require them. Complainant does not present the opinion or analysis of any Swiss counsel on this issue, but rather cites to a law firm alert and to some non-binding decisions of federal trial courts. Although not denominated as such, this discussion is essentially a request for Your Honor to reconsider the March 4 Order, but without providing any discussion of the standards under which such reconsideration would be appropriate or making any effort to show that its request meets such standards.¹ The Court should follow the direction it set out in the March 4 Order rather than accept Complainant's invitation to backtrack on it.

¹ The Commission's rules do not provide a mechanism for the reconsideration of presiding officer decisions, and they have been denied as "repetitious motions" prohibited under Commission Rule 73. *Holt Cargo Systems, Inc. v. Delaware River Port Authority*, 28 S.R.R. 1268, 1272 (ALJ 1999). Commission Rule 261 applies to reconsideration of final orders of the Commission. To the extent that the standards of Fed. R. Civ. P. 59(e) might be applied under Commission Rule 12, those standards are extremely narrow and not met by anything Complainant has presented here. See, e.g., *Taitz v. Astrue*, No. 11-402, 2011 U.S. Dist. LEXIS 119453 (D.D.C. Oct. 17, 2011) (denying motion for reconsideration and noting that they are "disfavored and are reserved for extraordinary circumstances" in which the moving party "must show that 'there has been an intervening change of controlling law, that new evidence is available, or that granting the motion is necessary to correct error or to prevent manifest injustice.'" (internal citations omitted). See also *Milton v. DOJ*, No. 08-242, 2012 WL 3105984 (D.D.C. July 31, 2012) (denying motion for reconsideration that "cites no intervening change in controlling law, provides no new evidence, and demonstrates no clear error" in the prior order); *Wingate v. DHS*, No. 11-223, 2012 U.S. Dist. LEXIS 100227 (M.D. Fla. July 19,

Moreover, Complainant has submitted that Your Honor should invoke the “mandatory process set forth in 46 U.S.C. § 41108(c)(2)” for use when a carrier “has alleged that information or documents located in a foreign country cannot be produced because of the laws of that country.” Under this procedure, the “Secretary of State shall promptly consult with the government of the nation within which the information or documents are alleged to be located for the purpose of assisting the Commission in obtaining the information or documents.” This government-to-government consultation process is consistent with the use of Hague Convention procedures. It is inconsistent with Complainant’s apparent suggestion that the Court could now simply ignore such procedures by deciding unilaterally that they do not apply.

Finally, Complainant’s new position is not consistent with Swiss law, as set out in the supplemental memorandum of Swiss counsel that MSC is filing along with this status report. Complainant asserts that use of the Swiss procedures is not necessary for a voluntary production as to which the party faces only procedural consequences for its failure to produce. The law firm advisory Complainant cites in support of this assertion is over eight years old (and the firm in question closed its Geneva office two years later.) That alert thus does not and cannot capture more recent evolution of the case law that is becoming increasingly sensitive to Article 271 violations.

The memorandum also demonstrates that it is simply not correct that there have been no cases finding persons criminally liable for an Article 271 violation when they provided data without being subject to any criminal sanctions for failure to produce it. A voluntary production without a formal threat of criminal sanction can lead, and has in fact led, to criminal prosecution under Article 271. The case law Complainant cites does not deal with this fact, and also deals with

2012)(denying reconsideration where evidence relied on was not new and could have been provided previously).

voluntary rather than compelled production of the type in this case. And again Complainant undermines its own contention by suggesting that MSC might face a penalty of having its tariffs suspended or its clearances refused or revoked for discovery noncompliance. These are not merely “procedural consequences.”

As Swiss counsel notes, it is true that in practice there are not many prosecutions based on Article 271, primarily because compliance with the Swiss procedures has become a norm of behavior. The Swiss authorities are thus only occasionally forced to prosecute a case, which reminds parties subject to Article 271 that it is in place and subject to enforcement.

2. *The Mandatory Process Set Forth in 46 U.S.C. § 41108(c)(2) Is the Best and Least Burdensome of the Available Options.*

With respect to the options available to the Presiding Officer and the parties in this case to address the claimed Swiss legal issues, Complainant respectfully submits that the Presiding Officer should proceed in the first instance according to the procedures set forth in 46 U.S.C. Section 41108(c)(2). Respondent’s invocation of Swiss law in defense of its failure to comply with the December 8 Order necessarily implicates Section 41108(c)(2), which *requires* the Commission to “immediately notify the Secretary of State of the failure to comply and of the allegation relating to foreign laws” so that “the Secretary of State shall promptly consult with the government of the nation within which the information or documents are alleged to be located for the purpose of assisting the Commission in obtaining the information or documents.” 46 U.S.C. § 41108(c)(2). Section 41108 also has the benefit of including a built-in remedy for non-compliance: under Section 41108(c)(1), the Commission can, after notice and a hearing, penalize non-compliance by “suspend[ing] any or all tariffs of the carrier or the carrier’s right to use any or all tariffs of conferences of which it is a member” or “request[ing] the Secretary of Homeland Security to refuse

or revoke any clearance required for a vessel operated by the carrier, and when so requested, the Secretary shall refuse or revoke the clearance.” 46 U.S.C. § 41108(c)(1).

Though mandatory in its language, Section 41108 does not purport to be an exclusive remedy. Complainant therefore does not categorically oppose proceeding in parallel under both Section 41108 and the Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the “Hague Evidence Convention”)—provided that doing so will not impose undue additional costs or burdens on Complainant, which has already been forced to file, and win, a motion to compel production of necessary discovery that Respondent could have produced voluntarily. However, as detailed below, both options under the Hague Convention—the issuance of a letter of request and the appointment of an independent commissioner—entail limitations that make them inadequate substitutes for the Section 41108 process.

Respondents’ Position on point 2.

MSC does not have any objection in principle to invocation of the consultation process under Section 41108(c). As set forth in the memorandum of Swiss counsel, it may well be that the Swiss government will respond in that process by confirming that the letters of request procedure of the Hague Convention should be complied with. Again, this suggests that Your Honor’s March 4 Order correctly identifies the issues that need to be addressed to move forward.

3. *A Letter of Request under the Hague Evidence Convention Appears Unlikely to Yield the Discovery to Which Complainant Is Entitled.*

With respect to issuing a letter of request, the Swiss FDJP and Swiss Federal Office of Justice (“FOJ”) emphasize in their official Guidelines on International Judicial Assistance in Civil Matters that:

Article 23 of the Hague Evidence Convention makes it possible for contracting states to declare that they will not execute a letter of request filed by states governed by common law relating to a pre-trial discovery of documents. Switzerland, without completely excluding assistance in the context of a pre-trial discovery,

reserves the right, according to the conditions established below, to refuse requests for assistance that have such proceedings as their objective.

FDJP & FOJ, International Judicial Assistance in Civil Matters Guidelines (3d ed. 2003, updated Jan. 2013) at 27, *available at* <https://www.rhf.admin.ch/rhf/de/home/zivilrecht/wegleitungen.html> (the “Swiss Guidelines”). Consequently, after incurring the additional expense, burden, and delay of preparing, translating, and transmitting a letter of request for discovery that has already been ordered by the Presiding Officer, it is entirely possible that the letter of request will be refused, in whole or in part, or unduly narrowed or reinterpreted by Swiss authorities, thereby depriving Complainant of the necessary documentary discovery to which the Presiding Officer has already determined it is entitled.

Respondents’ Position on point 3.

Complainant’s position on this point simply assumes that the letter of request process will prove ineffective because the Swiss government has reserved its rights in some respects. As noted in the February 25 memo of Swiss counsel, and confirmed in the supplemental memorandum submitted herewith, the process is frequently and effectively used as to pretrial discovery. Moreover, Complainant’s assertion on this point is inconsistent with the consultation process it urges Your Honor to initiate. If it is to simply be assumed that the Swiss authorities will not respond appropriately to a letter of request, it is not clear why the consultation procedures Complainant prefers would be effective.

4. *A Court-Appointed Commissioner under the Hague Evidence Convention Would Lack the Authority Necessary to Ensure Respondent’s Compliance.*

With respect to the appointment of an independent commissioner under the Hague Evidence Convention to take the discovery pursuant to the Presiding Officer’s December 8 Order and Complainant’s discovery requests, although the Swiss Guidelines acknowledge that evidence taken by a commissioner “is to be taken, as a rule, according to the procedures provided for by the

law of the requesting court,” they further state that “Switzerland has made use of its right to issue a reservation in relation to this provision whereby the aforementioned persons need to obtain authorisation with the Federal Department of Justice and Police before executing procedural steps in preparation for a trial,” and note that “if the specified procedures are against the law of the state of execution, they may not be used.” Swiss Guidelines at 28–29. Such a commissioner therefore may only “take any evidence insofar as the procedural steps considered are compatible with the law of the state of execution [i.e., Switzerland] and accord with the authorisation granted” *Id.* at 28. Perhaps more importantly, the Swiss Guidelines state that, since “Switzerland has made no declaration” pursuant to Article 18 of the Hague Evidence Convention authorizing such commissioners to apply to a competent Swiss authority for assistance to obtain evidence by compulsion, “[t]he person in question is therefore free not to cooperate at all or to interrupt the taking of evidence,” and it is “impossible to force the persons specified by the procedural steps to collaborate” with the commissioner. *Id.* at 28–29. Instead, “[i]n the event of a refusal to collaborate, the only available procedure is the one provided for in Chapter I of the Hague Evidence Convention”—i.e., a letter of request.^{2]}

Respondents’ Position on point 4.

MSC agrees that use of a Commissioner would not be appropriate for documentary discovery, though it may be useful at the deposition stage. The attached memorandum of Swiss counsel discusses this matter in some detail, as unlike many of the other issues Complainant raises it was identified in Your Honor’s March 4 Order for discussion and recommendation.

² If Respondent confirms that it will voluntarily make available the Switzerland-based employees whose depositions Complainant intends to take (whether within Switzerland or elsewhere), then a court-appointed commissioner may be a viable option for the taking of those depositions, provided they are not unduly limited by the commissioner’s authorization from Swiss authorities. The limitations on commissioners imposed by Swiss law, however, make a commissioner an impractical solution for the documentary discovery required by the December 8 Order.

As Swiss counsel notes, Swiss practice almost uniformly uses the Commissioner approach to deal only with depositions. Most cases where a Commissioner is appointed concern party or fact witness depositions, and a small proportion concern expert opinions (for example, when an expert has to examine an object or a place in Switzerland). Use for document discovery is exceedingly rare and used where document discovery is an incidental component of a deposition. Swiss counsel further notes that use of a Commissioner could provide an efficiency as to depositions in this case, and that that decision can be made closer to the time that depositions in Switzerland are noticed.

5. *Respondent Should Bear the Cost of Any Proceedings Ordered Pursuant to the Hague Evidence Convention.*

For the reasons detailed above, both options under the Hague Evidence Convention appear inferior to the process mandated by Section 41108 and would impose undue additional costs and burden on Complainant in seeking discovery to which the Presiding Officer has already found it is entitled under the Commission's Rules of Practice and Procedure. This now months-long delay in obtaining Swiss legal clearance was entirely due to Respondent, which chose to wait over four months after Complainant raised the issue before filing its memo on the claimed Swiss legal issue. Respondent could instead have answered Complainant's interrogatories and produced all relevant documents, communications, and information on a voluntary basis, avoiding the need to pursue any of these options. Consequently, if the Presiding Officer deems it appropriate to pursue either of the Hague Evidence Convention options in parallel with the Section 41108 process, the Presiding Officer should also order that Respondent bear the costs associated with those options.

Respondents' Position on point 5.

Complainant's contention that MSC should bear the cost of procedures required by Swiss law because it has supposedly delayed the resolution of the matter is without merit. MSC raised

the potential applicability of these issues to compelled discovery very early on in the case, and proposed a way to streamline discovery to focus on the issues directly relevant to Complainant's claim that MSC did not properly carry cargo it was contractually obligated to carry. Complainant rejected this offer and chose to pursue a wide range of discovery of tangential relevance to these issues -- the issues Complainant itself identified as the core issues in the case. Your Honor has ruled that it was Complainant's right to do so, but the resulting costs are because of choices Complainant has made, not MSC. To the extent Complainant has raised the issue of delay, MSC notes that Complainant did not initiate a meet and confer as to Your Honor's March 4 Order in the three-plus weeks after it issued, leaving MSC counsel to initiate the consultation last week, and that Complainant sent its portions of this joint submission to MSC for review after the close of normal business hours last Friday.

6. *The Parties Have Conferred about the Particulars of Any Request.*

Without waiving the above arguments about the inadequacy and undue cost and burden of the Hague Evidence Convention options, in order to comply with the Presiding Officer's instruction in the March 4 Order to attach a proposed request, Complainant is attaching a draft request prepared using the Model for Letters of Request under the Hague Evidence Convention, *available at* <https://www.hcch.net/en/publications-and-studies/details4/?pid=3309&dtid=2>. The Swiss Guidelines explain that "Switzerland has issued a reservation in accordance with which the letters of request and their annexes must be written in German, French or Italian or translated into one of these languages, depending on where the request is executed." Swiss Guidelines at 24. Complainant understands, and has asked Respondent to confirm, that since Respondent is headquartered in the primarily French-speaking Swiss canton of Geneva, any Hague Evidence Convention requests should be directed to the Swiss Central Authority for the canton of Geneva and translated into French.

Complainant is not currently aware of any need to amend the existing Confidentiality Stipulation and Protective Order to address any concerns Respondent may have under Swiss and/or other applicable data protection laws. Complainant has requested that Respondent's counsel confer with their Swiss counterparts on this issue, in order to ensure that any discovery ultimately produced is transferred and maintained in a manner consistent with applicable data protection laws.

Respondents' Position on point 6.

MSC's Swiss counsel has confirmed that the letter of request should be translated into French, which is the official language in Geneva where the letter will be executed. Swiss counsel further advises that in its experience the preferable route is to direct the latter through the FOJ. Swiss counsel also believes that amendments to the protective order would not be required to address data privacy issues if the letter of request procedure is used, and that this is an additional advantage of the letters of request procedure.

Respectfully submitted,

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